

Sales Channel Playbook

SALES & CHANNEL PLAYBOOK

Consumer Electronics Growth Challenge

1. Purpose

This document explains how the company's sales channels work, how customers move through them, and how channel decisions should be interpreted.

The company does not operate through a single sales route. Its consumer business uses:

Company Website

Amazon

Flipkart

Offline Retail

The company also has:

Corporate / B2B

B2B is treated as a distinct commercial stream rather than as an ordinary consumer channel.

This document explains the qualitative role of each channel.

Actual revenue, orders, units, AOV and channel-level performance should be obtained from the quantitative datasets.

2. Channel Strategy

The company uses multiple channels because different customers have different purchasing preferences. Channels differ in:

Customer intent

Discovery

Price sensitivity

Trust

Convenience

Product presentation

Promotional intensity

Customer ownership

Data availability

Economics

Fulfilment requirements

A channel should therefore not be evaluated simply by asking:

“Which channel has the most sales?”

Leadership is interested in:

Incremental growth

Profitability

Customer quality

Scalability

Strategic control

Operational feasibility

3. Company Website — CH-01

The company website is the company's direct digital sales environment. The website provides greater control over:

Product presentation

Customer experience

Offers

Bundling

Recommendations

Customer communication

First-party customer information

Potential strategic advantages include:

Greater control of the customer journey

Ability to create custom offers

Ability to cross-sell

Ability to develop direct customer relationships

Greater flexibility in experimentation

Potential challenges include:

Customer acquisition requirements

Traffic generation

Conversion

Brand awareness

Customer trust

Marketing costs

The website therefore provides greater strategic control but does not automatically guarantee lower acquisition costs or higher conversion.

4. Amazon — CH-02

Amazon represents a major marketplace environment. Marketplace customers may have:

High purchase intent

Strong price comparison behaviour

High expectations around convenience

Broad product discovery

Familiarity with marketplace purchasing

Potential advantages:

Large customer reach

Existing customer traffic

Product discoverability

Established purchasing infrastructure

Strong consumer trust

Potential challenges:

Competitive pricing

Marketplace fees

High product comparability

Promotional pressure

Reduced direct customer ownership

Competition from other sellers

A strategy that relies heavily on marketplace growth should account for these trade-offs.

5. Flipkart — CH-03

Flipkart is another major marketplace channel. It provides access to a large digital consumer audience and can serve customers who may behave differently from those on the company's website or other marketplaces.

Potential advantages:

Large customer reach

Marketplace discovery

Digital convenience

Product visibility

Established purchasing infrastructure

Potential challenges include:

Price competition

Marketplace economics

Promotional dependence

Limited direct ownership of customer relationships

Competition within product categories

The company should therefore compare marketplace performance rather than assuming all marketplaces behave identically.

6. Offline Retail — CH-04

Offline Retail provides a physical purchasing environment. Its value can include:

Physical product interaction

Consumer trust

Product demonstration

Local presence

Immediate availability

Access to customers who prefer physical stores

Offline retail can be particularly relevant when:

Customers want to see a product before purchase

Product explanation matters

Local distribution matters

Physical trust influences purchasing

Potential challenges include:

Retailer margins

Inventory placement

Shelf space

Geographic limitations

Slower scaling

Less direct customer data

Offline growth should therefore be considered alongside distribution and inventory feasibility.

7. Corporate / B2B — CH-05

Corporate / B2B is a distinct sales environment. B2B customers may include:

Corporations

Startups / SMEs

Educational organisations

Hospitality organisations

Retail businesses

Healthcare organisations

Government / institutional buyers

B2B transactions can involve:

Larger order quantities

Negotiated prices

Formal quotations

Longer sales cycles

Payment terms

Account management

Relationship development

B2B should therefore not be evaluated using exactly the same logic as consumer marketplace sales.

8. Customer Journey by Channel

The customer journey can differ substantially across channels.

These journeys create different strategic opportunities.

9. Channel Ownership

One of the most important differences between direct and marketplace channels is customer ownership.

On the company website, the company can generally maintain a more direct relationship with the customer. On marketplaces, the platform controls much of the customer interaction. This can affect:

Customer data

Retention programmes

Personalisation

Communication

Cross-selling

Loyalty

Therefore, two channels producing similar sales can still have different strategic value.

10. Channel Economics

Channel economics can differ because of:

Acquisition costs

Marketplace fees

Retail margins

Discounts

Fulfilment costs

Returns

Customer service

Promotional costs

A channel with high sales volume is not automatically the most profitable channel. Similarly, a channel with high ROAS is not automatically the most valuable channel if its total scale is too small. The company therefore evaluates channel economics in relation to both:

11. Channel and Product Fit

Different products may perform differently across channels.

Broad consumer products may benefit from marketplace reach.

Specialist products may benefit from more targeted environments.

Products requiring explanation or physical evaluation may benefit from offline retail.

Complementary products may perform well through direct bundles.

Therefore, the company considers:

rather than treating every product as equally suited to every channel.

12. Channel and Customer Fit

Different customer segments may also prefer different channels.

Students may place greater emphasis on:

Price

Convenience

Marketplace discovery

Promotions

Young Professionals may value:

Convenience

Direct digital purchasing

Product quality

Speed

Creators / Gamers may value:

Product specifications

Specialist discovery

Community influence

Product comparisons

These are hypotheses rather than deterministic rules. Actual behaviour must be validated using the quantitative data.

13. Channel Conflict

Multiple channels can create strategic conflicts. Examples include:

Website pricing vs marketplace pricing

Marketplace promotions vs offline retail pricing

Direct customer relationships vs marketplace dependence

Inventory allocation between channels

Product exclusivity

Promotional timing

A strategy that improves one channel may unintentionally weaken another. The company therefore considers the total business impact rather than isolated channel performance.

14. Omnichannel Thinking

Customers do not necessarily remain inside one channel. A customer may:

Discover a product on a marketplace

Research it elsewhere

Visit a physical store

Purchase online

Return through another channel

Purchase a complementary product directly later

Therefore, channel-level analysis should not automatically assume that every transaction represents an independent customer journey. The company should consider the broader customer relationship where evidence allows.

15. Channel Acquisition vs Channel Retention

Channels can play different roles in the customer lifecycle.

A marketplace may be effective for initial discovery and acquisition.

The company website may be more effective for developing direct relationships.

Offline retail may introduce customers who prefer physical purchasing.

B2B may create long-term account relationships.

Therefore, channel strategy can involve:

Acquisition channel — The channel that introduces customers.

Relationship channel — The channel through which the company develops the relationship.

Transaction channel — The channel where the purchase occurs.

These may not always be the same.

16. Channel Growth Levers

Potential channel growth mechanisms include:

Improving conversion
Increasing qualified traffic
Improving product visibility
Improving listings
Improving merchandising
Better promotions
Better product-channel fit
Bundling
Cross-selling
Regional expansion
Customer retention
Channel-specific campaigns

The company should not assume that simply increasing traffic will produce proportional revenue growth.

17. Channel Promotions

Promotions can be useful for:

Customer acquisition
Conversion
Seasonal demand
Inventory movement
Product launches
Cross-selling

However, promotions can also create:

Discount dependency
Lower realised revenue
Margin pressure
Customer price sensitivity
Channel conflict

The company therefore expects promotional strategies to explain why the incremental sales justify the economic cost.

18. Channel Data Interpretation

Channel data should answer quantitative questions such as:

Which channel generates the most revenue?
Which channel is growing?
Which channel has the highest AOV?
Which products perform best by channel?
Which regions depend most on particular channels?

The RAG provides the qualitative interpretation. The CSV data provides the numerical evidence. Participants should combine both.

19. Channel Strategic Trade-Offs

20. What Not to Assume

Do not assume:

Highest-revenue channel = best growth channel

Lowest-cost channel = best channel

Marketplace = inherently bad

Website = inherently superior

Offline = obsolete

B2B = automatic growth solution

More channels = better

More promotions = more sustainable growth

Each claim must be tested against evidence.

21. Channel Strategy Principle

The company does not seek to maximise the size of every channel. It seeks to build the most effective combination of:

A strong channel strategy identifies where this combination creates the greatest practical incremental value.

22. Final Principle

The company should not ask:

“Which channel is the best?”

The better question is:

“Which channel is best for which customer, product, objective, and stage of the customer relationship?”

That distinction is fundamental to channel strategy.

Website
Discovery
→ Website visit
→ Product consideration
→ Conversion
→ Direct relationship
→ Repeat / cross-sell

Marketplace
Search / Discovery
→ Product comparison
→ Marketplace conversion
→ Fulfilment
→ Review / experience
→ Pot

Offline
Store discovery
→ Physical evaluation
→ Staff / product interaction
→ Purchase
→ Product experience
→ Potential rep

B2B
Prospecting
→ Lead
→ Qualification
→ Opportunity
→ Negotiation
→ Quotation
→ Purchase
→ Account servic

EFFICIENCY
and
SCALE

PRODUCT
x
CHANNEL

Website
Strength: Control and customer ownership.
Challenge: Requires demand generation.

Marketplace
Strength: Scale and existing traffic.
Challenge: Competition and reduced customer ownership.

Offline
Strength: Physical presence and trust.
Challenge: Distribution and scaling complexity.

B2B
Strength: Potentially large account relationships.
Challenge: Longer sales cycles and servicing requirements.

CUSTOMER
x
PRODUCT
x
CHANNEL
x
REGION
x
ECONOMICS